

**Table 58.1** Identification Guidelines

| <b>Characteristic</b> | <b>Discussion</b>                                                                                                                                 |
|-----------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|
| Appearance            | Price trends up, then rounds over at the top, forming an inverted and backward J.                                                                 |
| Daily chart           | Use the daily chart to find the pattern, although the larger ones also appear on the weekly charts.                                               |
| Smooth top            | Look for daily high prices that, when connected, form a smooth turn. Larger patterns may not be as smooth because you are connecting minor highs. |
| Retrace               | The rounded top portion of the pattern usually retraces about 50% of the prior up move. Price must not drop below the pattern's start.            |
| Breakout direction    | Upward when price closes above the top of the scallop pattern. Fewer than 10% break out downward. Ignore those with downward breakouts.           |
| Confirmation          | Price must close above the highest high in the pattern. Only then is the pattern valid.                                                           |